

Comment 9()-5

Subpart A - General § 1002.1–§ 1002.16

Subpart B - Small Business Lending Data Collection § 1002.101–§ 1002.114

Appendices

Supplement I to Part 1002 - Official Interpretations

Introduction (cfpb.gov/rules-policy/regulations/1002/interp-0/)

Comment for 1002.1 - Authority, Scope, and Purpose (cfpb.gov/rules-policy/regulations/1002/interp-1/)

Comment for 1002.2 - Definitions (cfpb.gov/rules-policy/regulations/1002/interp-2/)

Comment for 1002.3 - Limited Exceptions for Certain Classes of Transactions (cfpb.gov/rules-policy/regulations/1002/interp-3/)

Comment for 1002.4 - General Rules (cfpb.gov/rules-policy/regulations/1002/interp-4/)

Comment for 1002.5 - Rules Concerning Requests for Information (cfpb.gov/rules-policy/regulations/1002/interp-5/)

Comment for 1002.6 - Rules Concerning Evaluation of Applications (cfpb.gov/rules-policy/regulations/1002/interp-6/)

Comment for 1002.7 - Rules Concerning Extensions of Credit (cfpb.gov/rules-policy/regulations/1002/interp-7/)

Comment for 1002.8 - Special Purpose Credit Programs (cfpb.gov/rules-policy/regulations/1002/interp-8/)

Comment for 1002.9 - Notifications

Comment for 1002.10 - Furnishing of Credit Information (cfpb.gov/rules-policy/regulations/1002/interp-10/)

Comment for 1002.11 - Relation to State Law (cfpb.gov/rules-policy/regulations/1002/interp-11/)

Comment for 1002.12 - Record Retention (cfpb.gov/rules-policy/regulations/1002/interp-12/)

Comment for 1002.13 - Information for Monitoring Purposes (cfpb.gov/rules-policy/regulations/1002/interp-13/)

Comment for 1002.14 - Rules on Providing Appraisals and Valuations (cfpb.gov/rules-policy/regulations/1002/interp-14/)

Comment for 1002.15 - Incentives for Self-Testing and Self-Correction (cfpb.gov/rules-policy/regulations/1002/interp-15/)

Comment for 1002.16 - Enforcement, Penalties, and Liabilities (cfpb.gov/rules-policy/regulations/1002/interp-16/)

Comment for 1002.102 - Definitions (cfpb.gov/rules-policy/regulations/1002/interp-102/)

Comment for 1002.103 - Covered Applications (cfpb.gov/rules-policy/regulations/1002/interp-103/)

Comment for 1002.104 - Covered Credit Transactions and Excluded Transactions (cfpb.gov/rules-policy/regulations/1002/interp-104/)

Comment for 1002.105 - Covered Financial Institutions and Exempt Institutions (cfpb.gov/rules-policy/regulations/1002/interp-105/)

Comment for 1002.106 - Business and Small Business (cfpb.gov/rules-policy/regulations/1002/interp-106/)

Comment for 1002.107 - Compilation of Reportable Data (cfpb.gov/rules-policy/regulations/1002/interp-107/)

Comment 9(_)-5

Interp-110/)

[Comment for 1002.110 - Publication of Data and Other Disclosures](https://cfpb.gov/rules-policy/regulations/1002/interp-110/) (cfpb.gov/rules-policy/regulations/1002/interp-110/)

[Comment for 1002.111 - Recordkeeping](https://cfpb.gov/rules-policy/regulations/1002/interp-111/) (cfpb.gov/rules-policy/regulations/1002/interp-111/)

[Comment for 1002.112 - Enforcement](https://cfpb.gov/rules-policy/regulations/1002/interp-112/) (cfpb.gov/rules-policy/regulations/1002/interp-112/)

[Comment for 1002.114 - Effective Date, Compliance Date, and Special Transition Rules](https://cfpb.gov/rules-policy/regulations/1002/interp-114/) (cfpb.gov/rules-policy/regulations/1002/interp-114/)

[Comment for Appendix C - Sample Notification Forms](https://cfpb.gov/rules-policy/regulations/1002/interp-c/) (cfpb.gov/rules-policy/regulations/1002/interp-c/)

Comment for 1002.9 - Notifications

THIS VERSION IS THE CURRENT REGULATION

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[Search this regulation](https://cfpb.gov/rules-policy/regulations/search-regulations/results/?regs=1002) (cfpb.gov/rules-policy/regulations/search-regulations/results/?regs=1002)

1. Use of the term adverse action. The regulation does not require that a creditor use the term adverse action in communicating to an applicant that a request for an extension of credit has not been approved. In notifying an applicant of adverse action as defined by § 1002.2(c)(1), a creditor may use any words or phrases that describe the action taken on the application.

2. Expressly withdrawn applications. When an applicant expressly withdraws a credit application, the creditor is not required to comply with the notification requirements under § 1002.9. (The creditor must comply, however, with the record retention requirements of the regulation. See § 1002.12(b)(3).)

3. When notification occurs. Notification occurs when a creditor delivers or mails a notice to the applicant's last known address or, in the case of an oral notification, when the creditor communicates the credit decision to the applicant.

4. Location of notice. The notifications required under § 1002.9 may appear on either or both sides of a form or letter.

5. Prequalification requests. Whether a creditor must provide a notice of action taken for a prequalification request depends on the creditor's response to the request, as discussed in comment 2(f)-3. For instance, a creditor may treat the request as an inquiry if the creditor evaluates specific information about the consumer and tells the consumer the loan amount, rate, and other terms of credit the consumer could qualify for under various loan programs, explaining the process the consumer must follow to submit a mortgage application and the information the creditor will analyze in reaching a credit decision. On the other hand, a creditor has treated a request as an application, and is subject to the adverse action notice

Comment 9(_)-5

~~Creditor tells the consumer that it would not approve an application for a mortgage because of a bankruptcy in the consumer's record, the creditor has denied an application for credit.~~

9(a) Notification of action taken, ECOA notice, and statement of specific reasons.

Paragraph 9(a)(1).

- 1. Timing of notice - when an application is complete.** Once a creditor has obtained all the information it normally considers in making a credit decision, the application is complete and the creditor has 30 days in which to notify the applicant of the credit decision. (See also comment 2(f)-6.)
- 2. Notification of approval.** Notification of approval may be express or by implication. For example, the creditor will satisfy the notification requirement when it gives the applicant the credit card, money, property, or services requested.
- 3. Incomplete application - denial for incompleteness.** When an application is incomplete regarding information that the applicant can provide and the creditor lacks sufficient data for a credit decision, the creditor may deny the application giving as the reason for denial that the application is incomplete. The creditor has the option, alternatively, of providing a notice of incompleteness under § 1002.9(c).
- 4. Incomplete application - denial for reasons other than incompleteness.** When an application is missing information but provides sufficient data for a credit decision, the creditor may evaluate the application, make its credit decision, and notify the applicant accordingly. If credit is denied, the applicant must be given the specific reasons for the credit denial (or notice of the right to receive the reasons); in this instance missing information or “incomplete application” cannot be given as the reason for the denial.
- 5. Length of counteroffer.** Section 1002.9(a)(1)(iv) does not require a creditor to hold a counteroffer open for 90 days or any other particular length of time.
- 6. Counteroffer combined with adverse action notice.** A creditor that gives the applicant a combined counteroffer and adverse action notice that complies with § 1002.9(a)(2) need not send a second adverse action notice if the applicant does not accept the counteroffer. A sample of a combined notice is contained in form C-4 of appendix C to the regulation.
- 7. Denial of a telephone application.** When an application is made by telephone and adverse action is taken, the creditor must request the applicant's name and address in order to provide written notification under this section. If the applicant declines to provide that information, then the creditor has no further notification responsibility.

Paragraph 9(a)(3).

- 1. Coverage.** In determining which rules in this paragraph apply to a given business credit application, a creditor may rely on the applicant's assertion about the revenue size of the business. (Applications to start a business are governed by the rules in § 1002.9(a)(3)(i).) If an

Comment 9()-5

Credit as an individual, the rules in § 1002.9(a)(3)(i) apply unless the application is for trade or similar credit.

2. Trade credit. The term trade credit generally is limited to a financing arrangement that involves a buyer and a seller - such as a supplier who finances the sale of equipment, supplies, or inventory; it does not apply to an extension of credit by a bank or other financial institution for the financing of such items.

3. Factoring. Factoring refers to a purchase of accounts receivable, and thus is not subject to the Act or regulation. If there is a credit extension incident to the factoring arrangement, the notification rules in § 1002.9(a)(3)(ii) apply, as do other relevant sections of the Act and regulation.

4. Manner of compliance. In complying with the notice provisions of the Act and regulation, creditors offering business credit may follow the rules governing consumer credit. Similarly, creditors may elect to treat all business credit the same (irrespective of revenue size) by providing notice in accordance with § 1002.9(a)(3)(i).

5. Timing of notification. A creditor subject to § 1002.9(a)(3)(ii)(A) is required to notify a business credit applicant, orally or in writing, of action taken on an application within a reasonable time of receiving a completed application. Notice provided in accordance with the timing requirements of § 1002.9(a)(1) is deemed reasonable in all instances.

9(b) Form of ECOA notice and statement of specific reasons.

Paragraph 9(b)(1).

1. Substantially similar notice. The ECOA notice sent with a notification of a credit denial or other adverse action will comply with the regulation if it is “substantially similar” to the notice contained in § 1002.9(b)(1). For example, a creditor may add a reference to the fact that the ECOA permits age to be considered in certain credit scoring systems, or add a reference to a similar state statute or regulation and to a state enforcement agency.

Paragraph 9(b)(2).

1. Number of specific reasons. A creditor must disclose the principal reasons for denying an application or taking other adverse action. The regulation does not mandate that a specific number of reasons be disclosed, but disclosure of more than four reasons is not likely to be helpful to the applicant.

2. Source of specific reasons. The specific reasons disclosed under §§ 1002.9(a)(2) and (b)(2) must relate to and accurately describe the factors actually considered or scored by a creditor.

3. Description of reasons. A creditor need not describe how or why a factor adversely affected an applicant. For example, the notice may say “length of residence” rather than “too short a period of residence.”

Comment 9()-5

system. Moreover, no factor that was a principal reason for adverse action may be excluded from disclosure. The creditor must disclose the actual reasons for denial (for example, “age of automobile”) even if the relationship of that factor to predicting creditworthiness may not be clear to the applicant.

5. Credit scoring - method for selecting reasons. The regulation does not require that any one method be used for selecting reasons for a credit denial or other adverse action that is based on a credit scoring system. Various methods will meet the requirements of the regulation. One method is to identify the factors for which the applicant's score fell furthest below the average score for each of those factors achieved by applicants whose total score was at or slightly above the minimum passing score. Another method is to identify the factors for which the applicant's score fell furthest below the average score for each of those factors achieved by all applicants. These average scores could be calculated during the development or use of the system. Any other method that produces results substantially similar to either of these methods is also acceptable under the regulation.

6. Judgmental system. If a creditor uses a judgmental system, the reasons for the denial or other adverse action must relate to those factors in the applicant's record actually reviewed by the person making the decision.

7. Combined credit scoring and judgmental system. If a creditor denies an application based on a credit evaluation system that employs both credit scoring and judgmental components, the reasons for the denial must come from the component of the system that the applicant failed. For example, if a creditor initially credit scores an application and denies the credit request as a result of that scoring, the reasons disclosed to the applicant must relate to the factors scored in the system. If the application passes the credit scoring stage but the creditor then denies the credit request based on a judgmental assessment of the applicant's record, the reasons disclosed must relate to the factors reviewed judgmentally, even if the factors were also considered in the credit scoring component. If the application is not approved or denied as a result of the credit scoring, but falls into a gray band, and the creditor performs a judgmental assessment and denies the credit after that assessment, the reasons disclosed must come from both components of the system. The same result applies where a judgmental assessment is the first component of the combined system. As provided in comment 9(b)(2)-1, disclosure of more than a combined total of four reasons is not likely to be helpful to the applicant.

8. Automatic denial. Some credit decision methods contain features that call for automatic denial because of one or more negative factors in the applicant's record (such as the applicant's previous bad credit history with that creditor, the applicant's declaration of bankruptcy, or the fact that the applicant is a minor). When a creditor denies the credit request because of an automatic-denial factor, the creditor must disclose that specific factor.

9. Combined ECOA-FCRA disclosures. The ECOA requires disclosure of the principal reasons for denying or taking other adverse action on an application for an extension of credit. The Fair Credit Reporting Act (FCRA) requires a creditor to disclose when it has based its decision in whole or in part on information from a source other than the applicant or its own files. Disclosing that a credit report was obtained and used in the denial of the application, as the

Comment 9(_)-5

application is denied for that reason, to satisfy § 1002.9(b)(2) the creditor must disclose that the application was denied because of the applicant's delinquent credit obligations. The FCRA also requires a creditor to disclose, as applicable, a credit score it used in taking adverse action along with related information, including up to four key factors that adversely affected the consumer's credit score (or up to five factors if the number of inquiries made with respect to that consumer report is a key factor). Disclosing the key factors that adversely affected the consumer's credit score does not satisfy the ECOA requirement to disclose specific reasons for denying or taking other adverse action on an application or extension of credit. Sample forms C-1 through C-5 of appendix C of the regulation provide for both the ECOA and FCRA disclosures. See also comment 9(b)(2)-1.

9(c) Incomplete applications.

Paragraph 9(c)(1).

1. **Exception for preapprovals.** The requirement to provide a notice of incompleteness does not apply to preapprovals that constitute applications under § 1002.2(f).

Paragraph 9(c)(2).

1. **Reapplication.** If information requested by a creditor is submitted by an applicant after the expiration of the time period designated by the creditor, the creditor may require the applicant to make a new application.

Paragraph 9(c)(3).

1. **Oral inquiries for additional information.** If an applicant fails to provide the information in response to an oral request, a creditor must send a written notice to the applicant within the 30-day period specified in §§ 1002.9(c)(1) and (2). If the applicant provides the information, the creditor must take action on the application and notify the applicant in accordance with § 1002.9(a).

9(g) Applications submitted through a third party.

1. **Third parties.** The notification of adverse action may be given by one of the creditors to whom an application was submitted, or by a noncreditor third party. If one notification is provided on behalf of multiple creditors, the notice must contain the name and address of each creditor. The notice must either disclose the applicant's right to a statement of specific reasons within 30 days, or give the primary reasons each creditor relied upon in taking the adverse action - clearly indicating which reasons relate to which creditor.

2. **Third party notice - enforcement agency.** If a single adverse action notice is being provided to an applicant on behalf of several creditors and they are under the jurisdiction of different Federal enforcement agencies, the notice need not name each agency; disclosure of any one of them will suffice.

Comment 9(_)-5

regulation if the creditor accurately and in a timely manner provided the third party with the information necessary for the notification and maintains reasonable procedures adapted to prevent such violations.

[Previous section - Interp-8 \(cfpb.gov/rules-policy/regulations/1002/interp-8/\)](https://cfpb.gov/rules-policy/regulations/1002/interp-8/)

Comment for 1002.8 - Special Purpose Credit Programs

[Next section - Interp-10 \(cfpb.gov/rules-policy/regulations/1002/interp-10/\)](https://cfpb.gov/rules-policy/regulations/1002/interp-10/)

Comment for 1002.10 - Furnishing of Credit Information



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